BERNSTEIN
SOCIETE GENERALE GROUP

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Japan Semiconductors

Japan Semis Earnings Preview (3Q CY26): Buy the dip, anyone?



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We preview the upcoming 3Q CY26 quarterly results season for Japanese semiconductor companies based on a set of data sources that we track and proprietary methods to derive the expected results. The data pack is available upon request.

Not the best set up into the print. Market has been weak into the year-end; we have not been constructive on the near term since Sep, and we don't see reasons to be bullish into this quarter. Result beats didn't lead to good market reactions (ASML, TSMC); so we worry about potential misses, which our tracking data is showing for several companies, with no significant beats suggested. Our coverage of Japan Semi is still up 42% YTD even after a 26% pull back QTD. This is not to say we don't like the sector; fundamentally, earnings so far (TSMC, ASML, LRCX, SPCX) have confirmed that AI continues to support strong demand for semi equipment for years. Against this backdrop, we believe the recent pullback has created a more favorable risk-reward into next year.

For SPE, we focus on guidance raises, and would position for **Advantest** and **Kokusai** long. Both are tracking well against consensus and are likely to raise (Advantest on OP based on ASIC/CPU, and Kokusai on strong orders from China/non-China memory). **Lasertec** may also raise their order guidance but expectation is already high. **TEL** and **Screen** are tracking behind consensus, and while both will be constructive on pricing, margin and demand outlook, those have been communicated and expected already. Besides demand outlook, another focus is supply constraint from both equipment makers and their component suppliers, as suggested by both ASML and LRCX.

For non-equipment names, safety and demand visibility will be appreciated. **Hoya** is preferred here for this quarter as its business sees further upgrades (HNA adoption and Toshiba glass substrate), followed by **Renesas** (share gain in AI power and margin expansion). **Ibiden** is expected to raise guidance with two new fab announcements, but those are (arguably) in the price. **SUMCO** 3Q results are likely inline with +1% QoQ sales. Price is weak, upside is likely for 1 year, but near term catalyst is lacking given price negotiation won't happen so soon. **SoftBank** NAV discount widened to 46% and is attractive for long term investors but we need better visibility for major model company's IPO first.

Q3 FX was neutral, with C3Q26 USDJPY at ¥159.30 vs. ¥159.43 (-0.1%), which shouldn't impact companies either way. C4Q26 QTD is showing slight appreciation to ¥158.08 (-0.8%). Among our coverage, Ibiden, DISCO, Advantest, SUMCO and Renesas are likely to benefit more in case of JPY depreciation.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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BERNSTEIN TICKER TABLE

			22 Oct 2026		TTM	Reported EPS				Reported P/E (x)	
			Closing	Price	Rel.						
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
6857.JP (Advantest)	O	JPY	32,370	45,800	65.4%	JPY	513.30	948.96	1,088.87	63.1	34.1	29.7
6525.JP (Kokusai)	O	JPY	6,798.00	12,420	15.1%	JPY	128.63	262.29	373.69	52.8	25.9	18.2
7735.JP (Screen)	M	JPY	11,770	15,000	54.1%	JPY	486.61	574.49	759.55	24.2	20.5	15.5
8035.JP (Tokyo Electron)	O	JPY	9,450.00	79,300	29.9%	JPY	1,250.88	1,687.17	2,635.81	7.6	5.6	3.6
6920.JP (Lasertec)	O	JPY	37,250	54,000	50.1%	JPY	863.65	1,185.31	1,348.53	43.1	31.4	27.6
6146.JP (DISCO)	O	JPY	51,230	90,000	(27.0)%	JPY	1,245.79	1,855.85	2,325.42	41.1	27.6	22.0
7741.JP (Hoya)	O	JPY	26,380	35,500	(9.3)%	JPY	744.42	829.63	977.78	35.4	31.8	27.0
6723.JP (Renesas)	O	JPY	2,919.00	6,300.00	25.2%	JPY	181.61	261.36	302.64	16.1	11.2	9.6
3436.JP (SUMCO)	M	JPY	2,386.50	3,290.00	13.7%	JPY	(33.61)	(41.59)	64.43	(71.0)	(57.4)	37.0
4062.JP (Ibiden)	O	JPY	8,598.00	29,000	214.5%	JPY	214.91	329.25	511.84	40.0	26.1	16.8
9984.JP (SoftBank)	O	JPY	4,305.00	11,100	(51.2)%	JPY	872.47	204.81	161.94	4.9	21.0	26.6
JPL			2,625.74									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6723.JP, 9984.JP estimate is Adjusted EPS; 6723.JP, 9984.JP valuation is Adjusted P/E (x); 6920.JP base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Advantest (PT=¥45,800), Kokusai (PT=¥12,420), Tokyo Electron (PT=¥79,300), DISCO (PT=¥90,000), Lasertec (PT=¥54,000), Renesas (PT=¥6,300.00), Hoya (PT=¥35,500), Ibiden (PT=¥29,000) and SoftBank (PT=¥11,100) Outperform.

We rate Screen (PT=¥15,000) and SUMCO (PT=¥3,290.00) Market-Perform.

DETAILS

Exhibit 1 summarizes the tracking data for the upcoming earnings. Note that

- The data sets that we use for Advantest regression are indicating an opposite result. SEAJ data is suggesting a strong beat, whereas country import data is below consensus. While SEAJ is a better indicator, there are only two months of data. So the conviction level is lower this quarter. We are leaning towards a beat still.

- Screen regression shows significant downside to consensus, but there is ~¥20bn revenue it can recognize from Swaysure. Adding it in, it would still suggest downside to earnings.

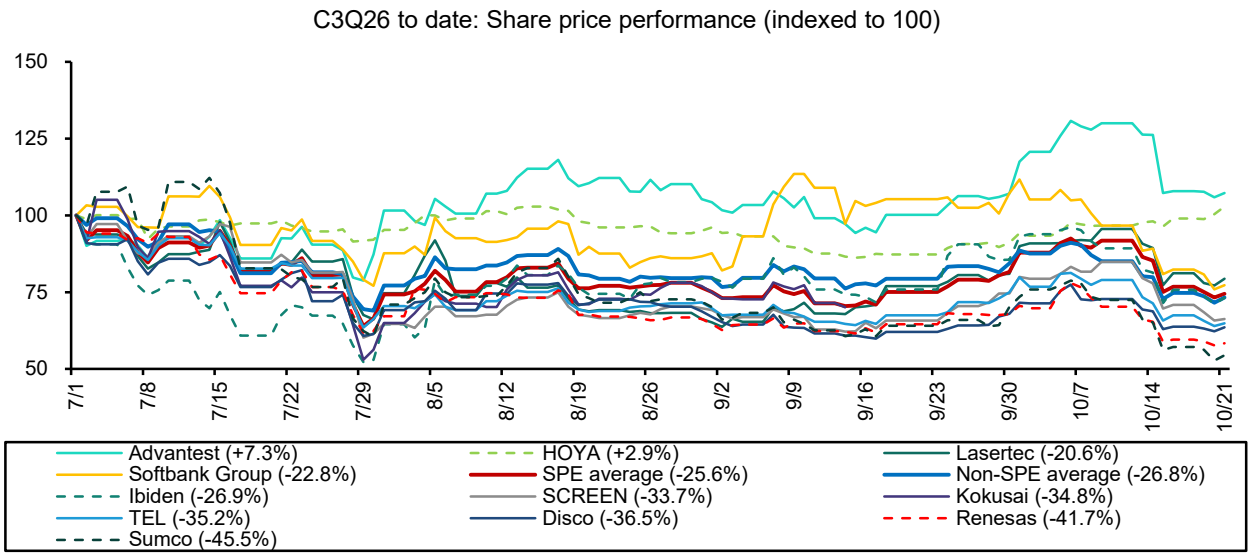
EXHIBIT 1: **Summary of sector preview data points**

Company Data source	Revenue (JPY bn)					Delta (%)		R^2	n Months of Data
	Regression	% QoQ [1]	% YoY [1]	BERN	Cons.	vs. BERN	vs. Cons		
Tokyo Electron (SPE rev)	814	13.1%	32.3%	876	896	(7.1%)	(9.1%)		
SEAJ industry	816	13.4%	32.6%					0.913	2
Taiwan import	159	(14.7%)	27.1%					0.876	3
PRC import	290	47.9%	13.1%					0.843	3
South Korea import	192	16.2%	82.6%					0.876	3
US import	70	(11.1%)	41.1%					0.403	2
Advantest rev	420	14.3%	59.7%	436	429	(3.7%)	(2.2%)		
SEAJ industry	496	35.0%	88.7%					0.959	2
Taiwan import	167	(12.8%)	15.7%					0.959	3
PRC import	57	8.2%	46.2%					0.705	3
South Korea import	77	8.3%	117.3%					0.815	3
US import	7	(10.3%)	52.7%					0.341	2
Screen (SPE rev)	120	28.7%	9.8%	157	165	(23.6%)	(27.3%)		
Taiwan import	38	3.7%	63.3%					0.850	3
PRC import	37	123.1%	(5.4%)					0.621	3
Kokusai rev [2]	85	12.1%	29.2%	85	86	(1.1%)	(1.3%)		
PRC import	31	14.8%	3.1%					0.555	3
Lasertec Production	79	37.5%	139.8%						
Japan export		28.3%	124.4%					0.736	2
SUMCO rev	114	0.5%	15.3%	101	118	12.6%	(3.4%)		
Japan export		3.8%	15.7%					0.653	2
Ibiden Electronics rev	90	15.8%	56.8%	93	91	(2.9%)	(1.3%)		
Japan production		19.8%	59.7%					0.965	2
Renesas rev	403	(0.5%)	20.6%	438	435	(7.9%)	(7.4%)		
Renesas Auto rev	178	(5.0%)	11.9%	194	191	(8.3%)	(6.8%)		
Japan MCU		7.2%	22.2%					0.912	2
Renesas IIoT rev	222	2.5%	33.2%	242	239	(8.3%)	(7.1%)		
WSTS Analog		12.2%	19.0%					0.828	2

1. QoQ / YoY % represent revenue growth for company-level, and import / export / etc. growth for underlying data.

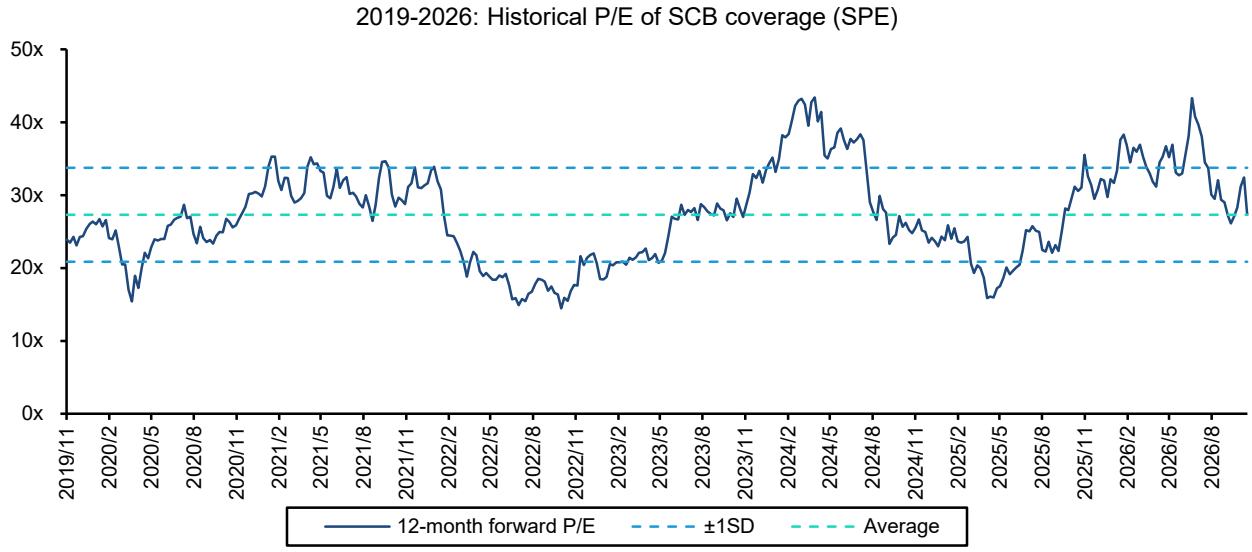
2. Kokusai revenue estimates are assuming QoQ flat ex-China revenue.
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: **Over the last 3 months, all of our coverage companies, barring Advantest and Hoya, has ended up negative.**



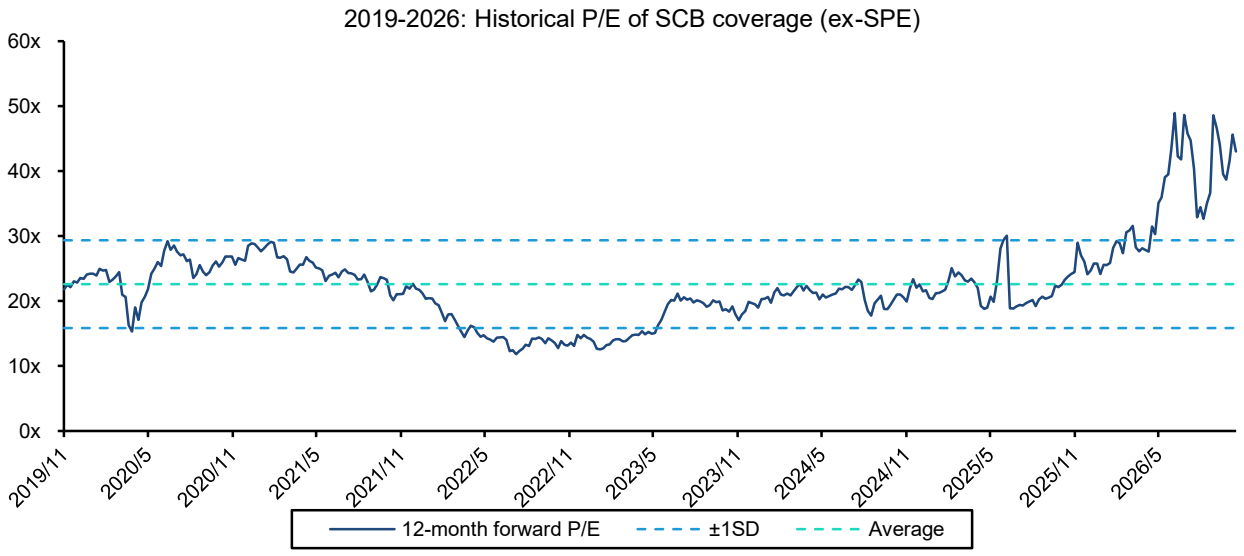
Source: Bloomberg, Bernstein analysis.

EXHIBIT 3: **Our Japan SPE coverage companies are currently still trading near historical mean.**



Source: Bloomberg, Bernstein analysis.

EXHIBIT 4: **Valuation for Japan non-SPE coverage companies have been heightened due to Ibiden / Sumco.**



Source: Bloomberg, Bernstein analysis

TOKYO ELECTRON

Tokyo Electron will publish 2Q27 results on Friday 30th October.

Q2 miss seems likely — Both our SEAJ data tracker and import data point to a below-consensus Q2 between ¥812bn (+13% QoQ) to ¥816bn (+13% QoQ) SPE sales for TEL. As the biggest WFE manufacturer in Japan, there is an abundance of data points to track TEL, and we believe SEAJ / China import / Taiwan import / South Korean import / US import data collectively have good prediction power (Exhibit 6-Exhibit 13). In terms of the underlying import data, Taiwan was down -15%, PRC was up +48%, South Korea was up +16% sequentially. In any case, the annual revenue cadence should improve further into 2H.

2H, FY Guidance — The key data point for the print would be the guidance, as they have yet to provide some color on the 2H and the full year. Expectation for the full guidance is ¥3.4tn sales and ¥1tn OP, though they could beat this expectation. Company has been communicating that their 2H revenue would be greater than 1H, but more important discussion in our opinion is how much pricing upside will be materialized into Q4. In aggregate, one of the key anchor points for the guidance seems to be ¥1tn OP for the full year. Another point of discussion may be whether their supply chain is able to support the growth. 2027 WFE outlook is also expected to be raised at $200-210bn.

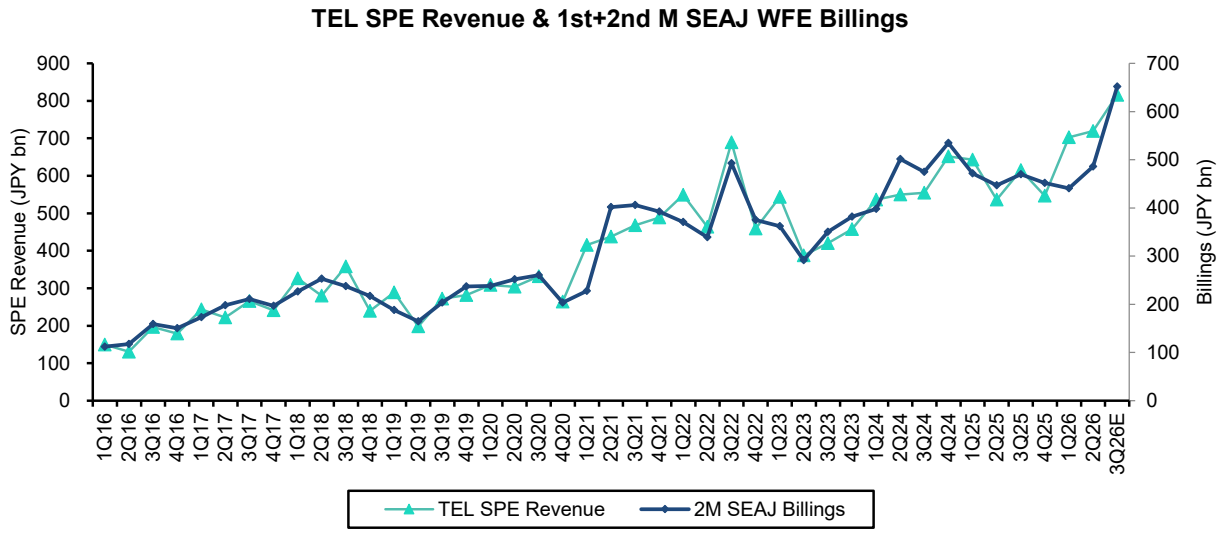
EXHIBIT 5: **Our SEAJ-based regression and Import-based regressions both point to a potential Q2 miss.**

Tokyo Electron	Revenue (JPY bn) 2QFY26 (3QCY25)	1QFY27 (2QCY26)	2QFY27E (3QCY26E)	YoY	QoQ
Total SPE	615	719			
Predicted (SEAJ)			816	33%	13%
Predicted (Import)			797	29%	11%
Bernstein			876	42%	22%
Consensus			896	46%	25%

Source: Company disclosures, SEAJ, Bloomberg, Bernstein estimates and analysis

SEAJ Japan WFE Billings

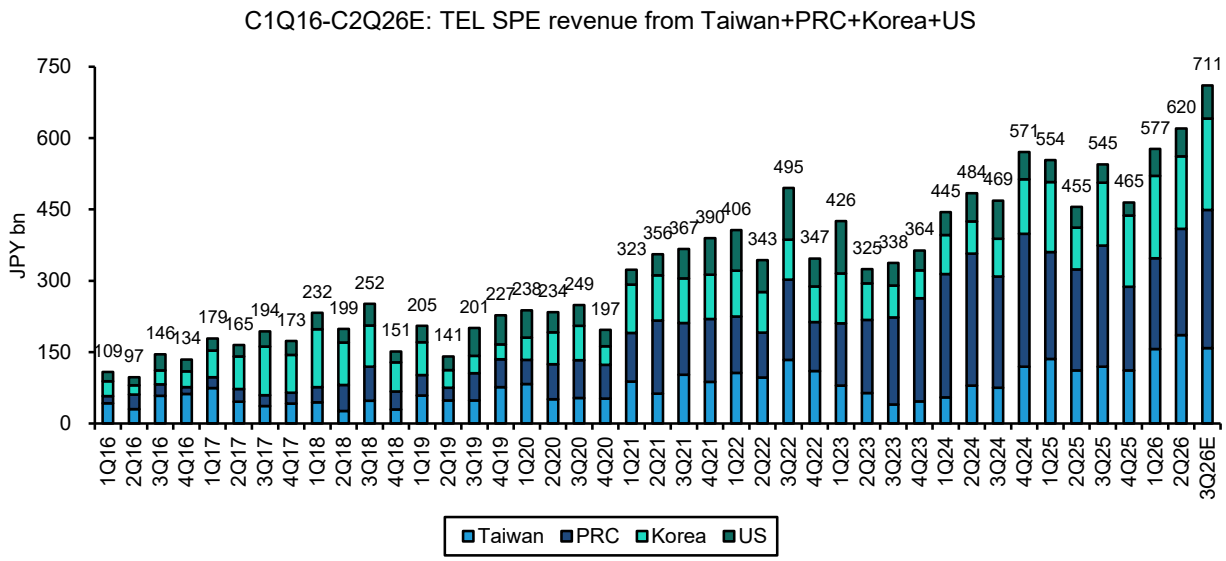
EXHIBIT 6: **SEAJ data suggests a QoQ growth for C3Q26, and the data has decent directional correlation with TEL.**



Source: Company disclosures, SEAJ, Bernstein estimates and analysis.

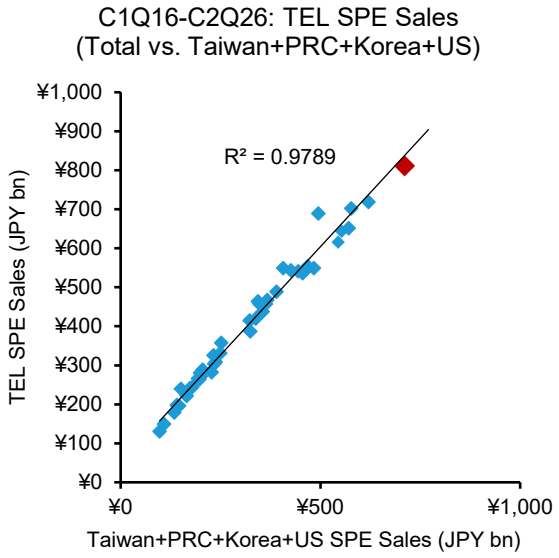
Import Data

EXHIBIT 7: **Based on regression, we expect TEL's SPE revenue from Taiwan, PRC, Korea and US to be collectively ¥711bn.**



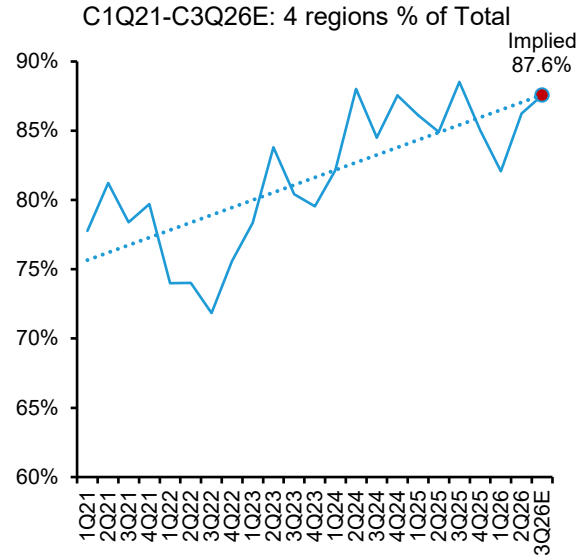
Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 8: **And we derive TEL's total SPE sales based on regression.**



Source: Company disclosures, Bernstein estimates and analysis.

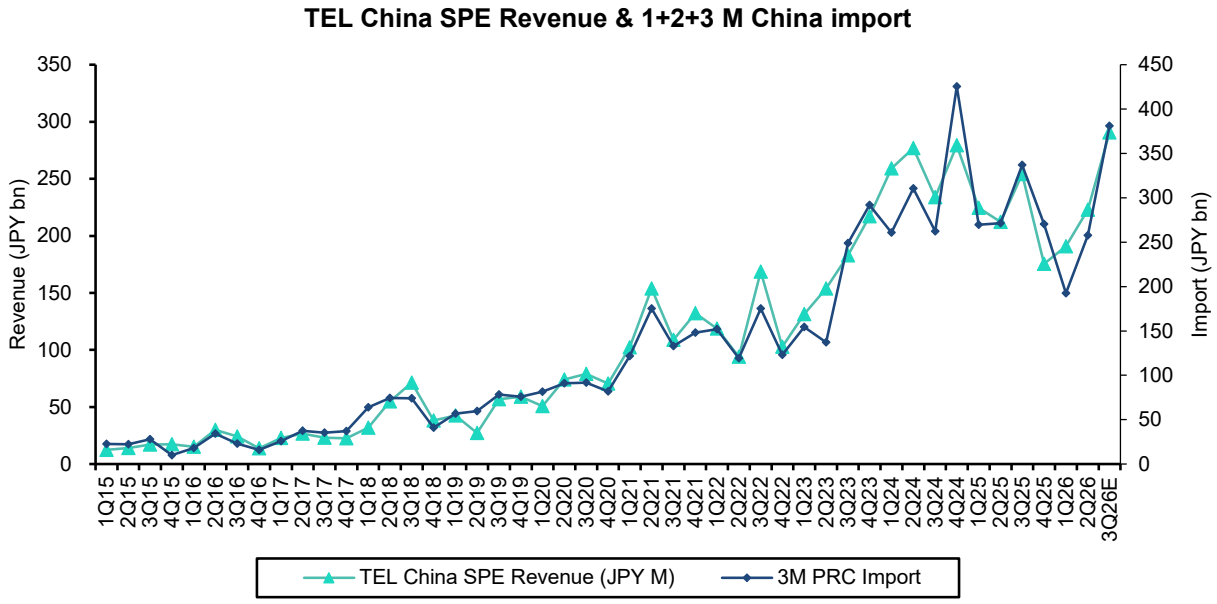
EXHIBIT 9: **Our regression-based TEL SPE sales of ¥812bn in CQ3 implies a 87.6% mix from the 4 major regions, and is in line with historical trend.**



Source: Company reports, Bernstein estimates and analysis.

China import

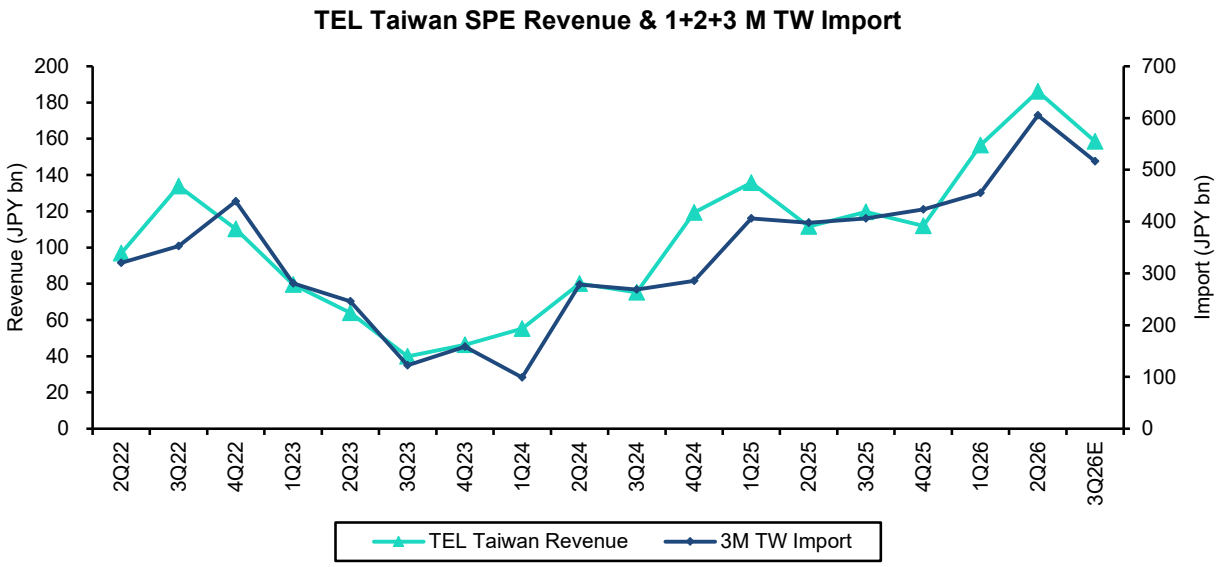
EXHIBIT 10: **China import for C3Q26 suggests a QoQ growth, and the dataset shows good directional correlation with TEL.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Taiwan import

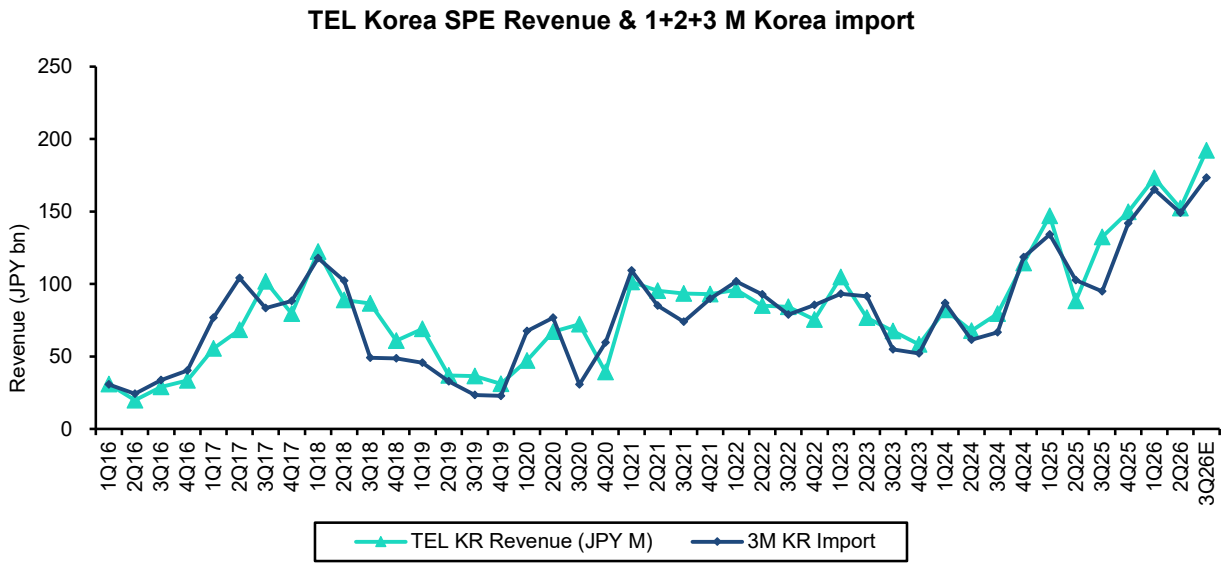
EXHIBIT 11: **Taiwan import data for C3Q26 is showing QoQ decline, and this dataset historically has shown good directional correlation.**



We reinstated Taiwan import data from March 2022.
Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

South Korea import

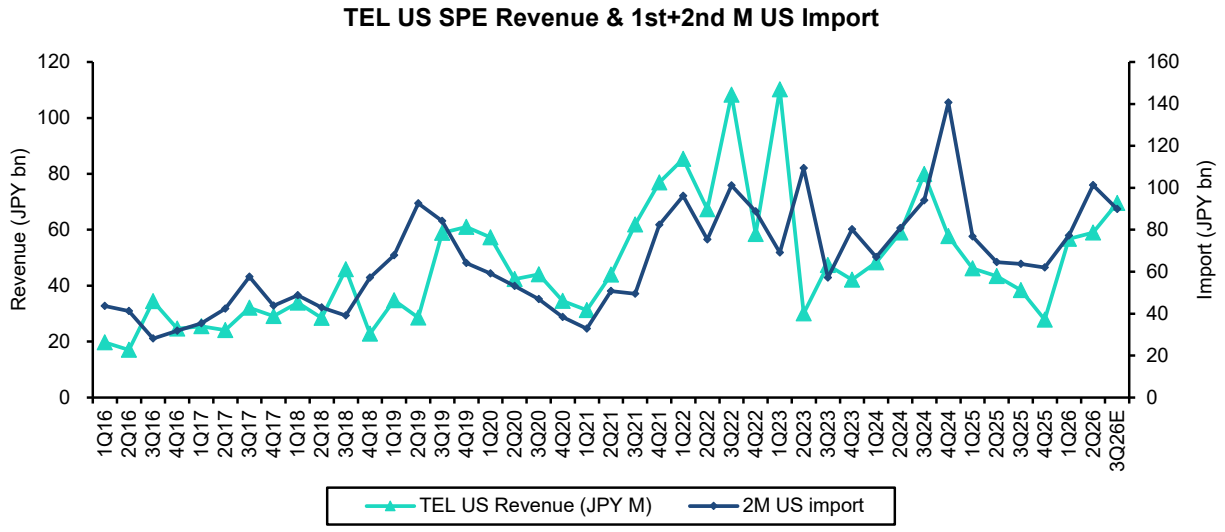
EXHIBIT 12: **Korean import data for C3Q26 suggests QoQ growth, and this dataset historically has good directional correlation.**



Source: Company disclosures, Korea Customs Service, Bernstein estimates and analysis

United States import

EXHIBIT 13: **US Import data for C3Q26 is implying QoQ decline, although directional correlation is hit-and-miss.**



Source: Company disclosures, United States International Trade Commission, Bernstein estimates and analysis

ADVANTEST

Advantest will publish 2Q27 results on Wednesday 28th October.

Mixed Signals for Q2 — SEAJ data suggests a strong Q2 beat with ¥496bn sales (+35% QoQ) for Advantest, which is +16% above consensus. Country import data suggest Advantest's Q2 revenue to be ¥344bn (-6% QoQ), -6% below consensus (Exhibit 14-Exhibit 23). Note that the import data may include shipments from other vendors, whereas SEAJ is for Japanese vendors only.

Expect guidance raise — The full year OP guidance is expected to be raised to ¥900bn, though it's not a strong consensus. As expectation for ASIC is already there, comments on CPU / CPO testing would help, and conviction on further share gains could drive share prices.

EXHIBIT 14: **Our regression-based analyses show mixed signals for Q2.**

	Revenue (JPY bn)				
Advantest	2QFY26 (3QCY25)	1QFY27 (2QCY26)	2QFY27E (3QCY26E)	YoY	QoQ
Total Sales	263	367			
Predicted (SEAJ)			496	89%	35%
Predicted (Import)			344	31%	-6%
Bernstein			436	66%	19%
Consensus			429	63%	17%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

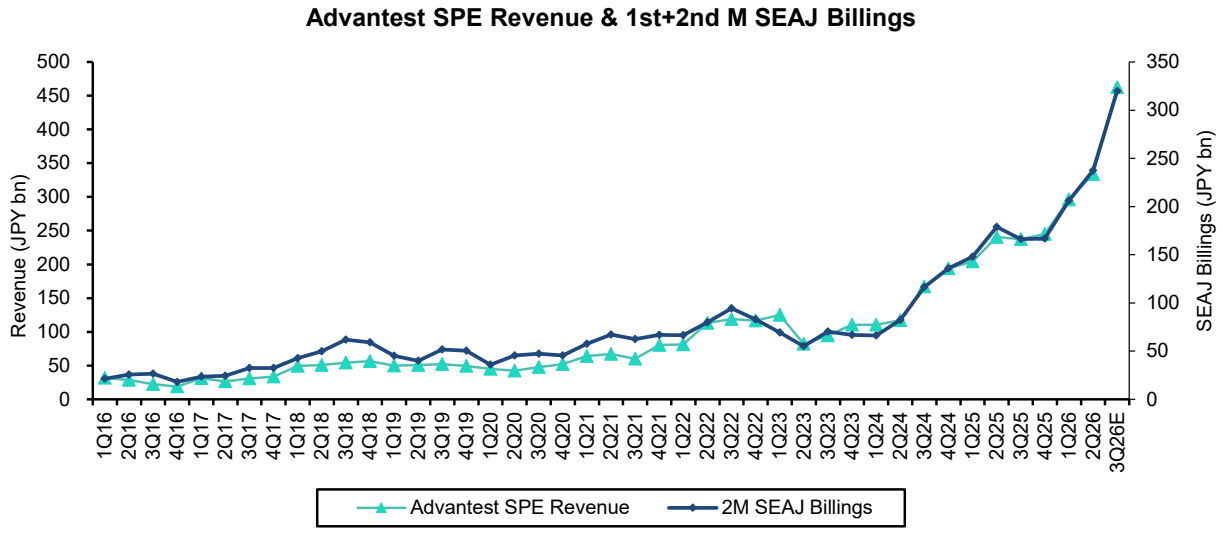
EXHIBIT 15: **We expect Taiwan and PRC sales to be relatively weak in Q2 offset by South Korea.**

	Revenue (JPY bn)			
Advantest	1QFY27 (2QCY26)	2QFY27E (3QCY26E)	QoQ (%)	QoQ (¥ bn)
Total Import	**328.6**	**308.8**	**(6.0%)**	**(19.8)**
Taiwan	178.6	167.5	(6.2%)	(11.1)
PRC	69.4	57.0	(17.9%)	(12.4)
Korea	67.4	77.1	14.5%	9.7
US	13.2	7.3	(45.0%)	(5.9)
Revenue	**367.5**	**343.8**	**(6.4%)**	**(23.7)**

Source: Company disclosures, Bernstein estimates and analysis.

SEAJ Japan Tester Billings

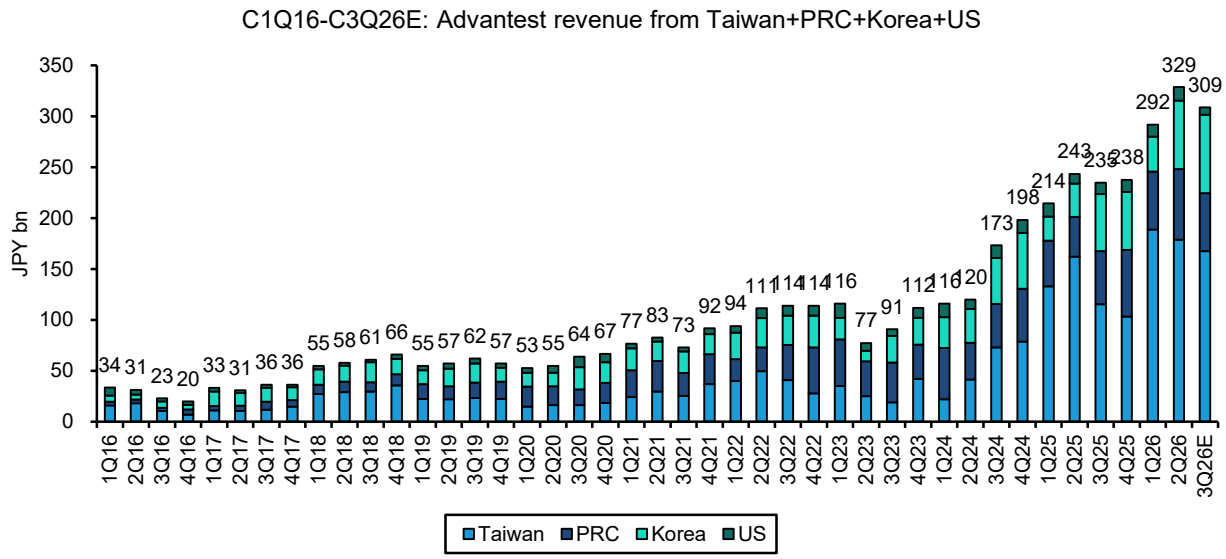
EXHIBIT 16: **SEAJ data suggests QoQ growth for C3Q26, and the data has very good directional correlation with Advantest.**



Source: Company disclosures, SEAJ, Bernstein estimates and analysis.

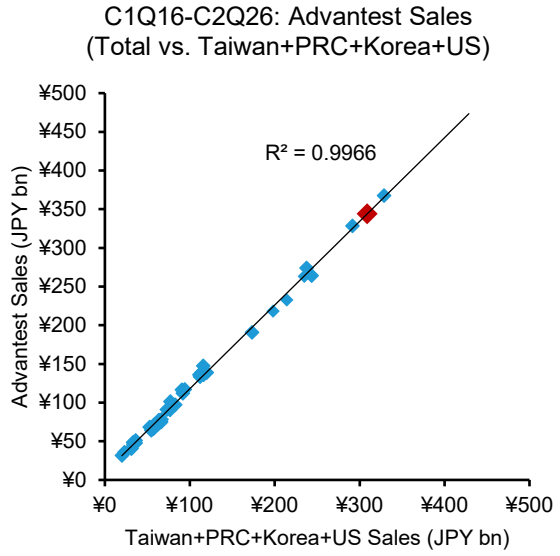
Import Data

EXHIBIT 17: **Based on regression, we expect Advantest's revenue from Taiwan, PRC, Korea and US to be collectively ¥309bn.**



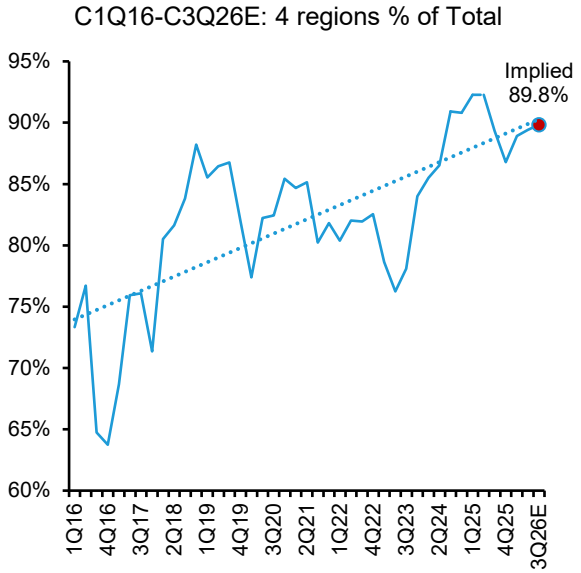
Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 18: **And we derive Advantest's total sales based on regression.**



Source: Company reports, Bernstein estimates and analysis.

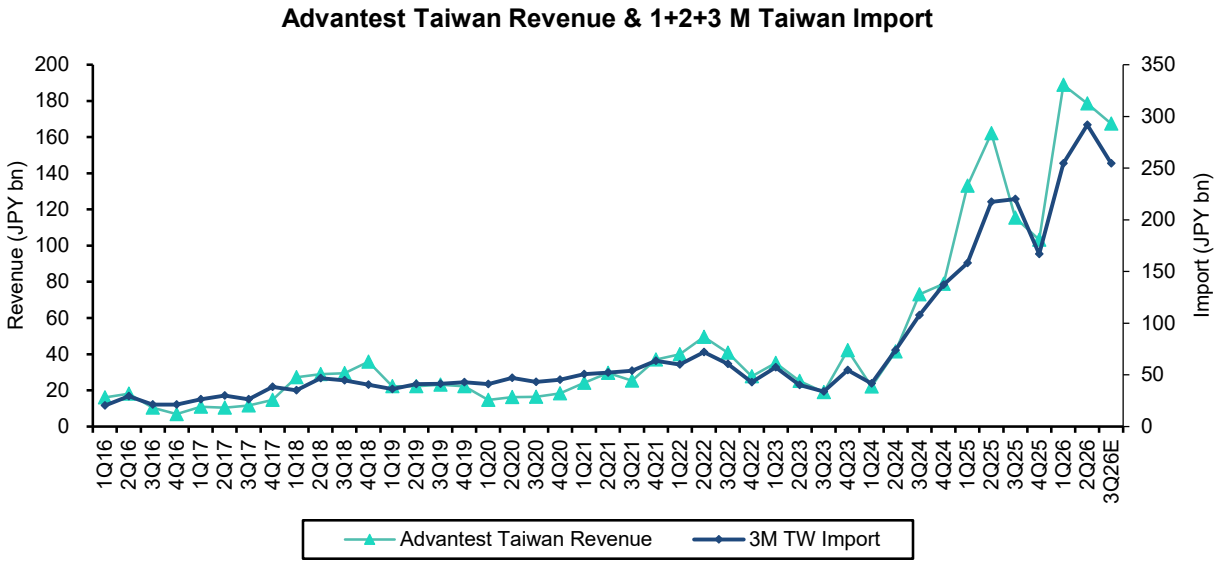
EXHIBIT 19: **Our regression-based Advantest sales of ¥344bn in CQ3 implies a 90% mix from the 4 major regions, and is in line with historical trend.**



Source: Company reports, Bernstein estimates and analysis

Taiwan import

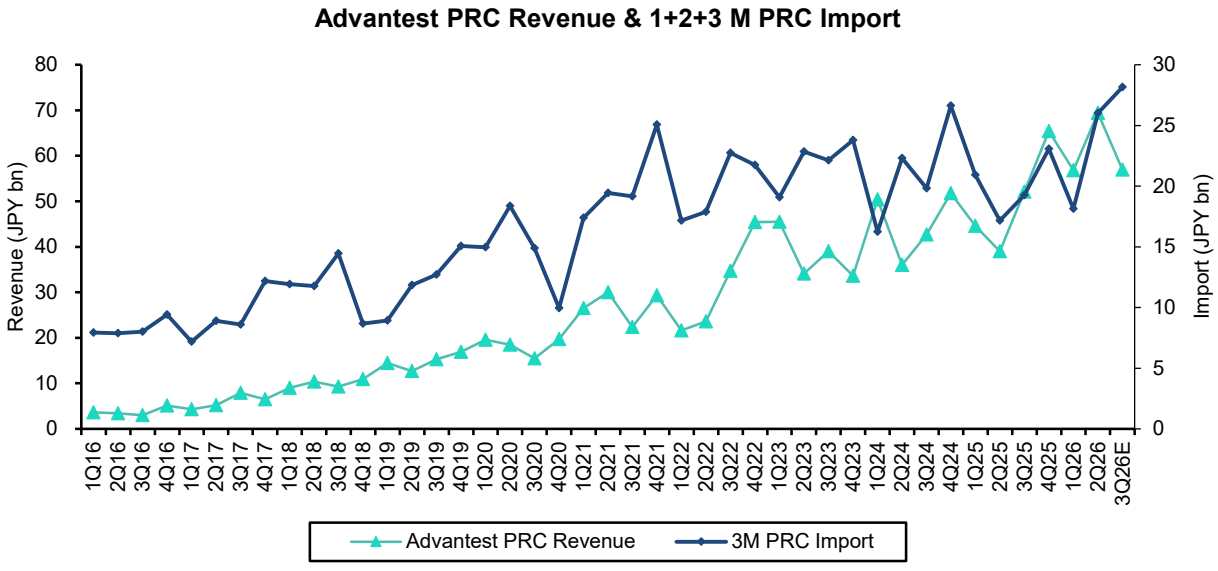
EXHIBIT 20: **Taiwan's C3Q26 import is indicating a QoQ decline, and this dataset historically shows good directional correlation with Advantest.**



Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

China import

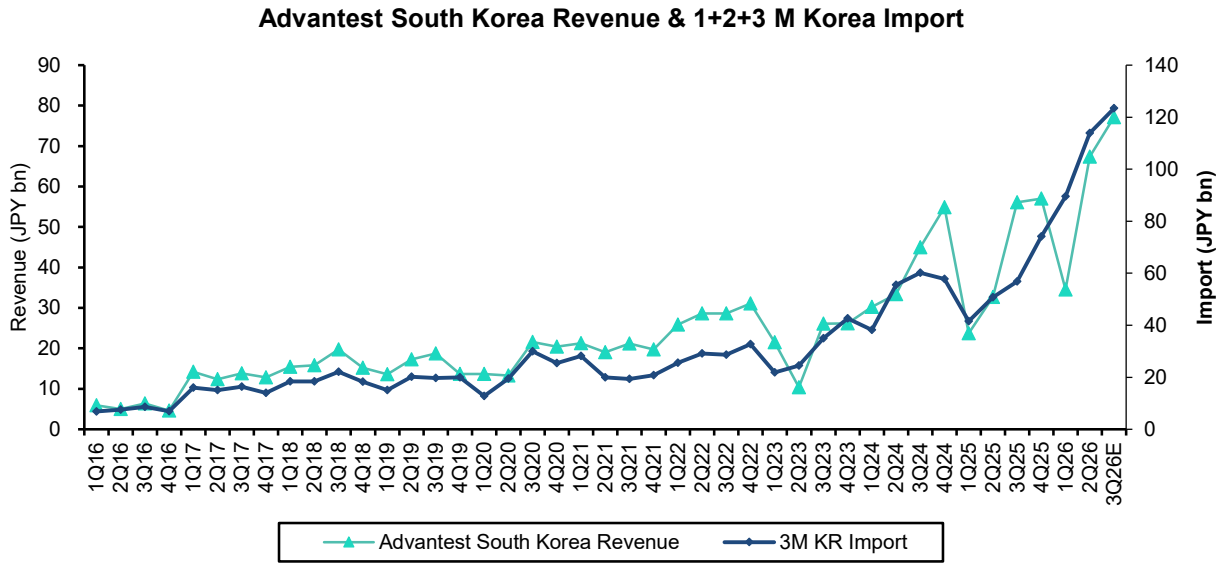
EXHIBIT 21: **China import in C3Q26 is indicating QoQ decline, although this dataset has less directional correlation with Advantest.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

South Korea import

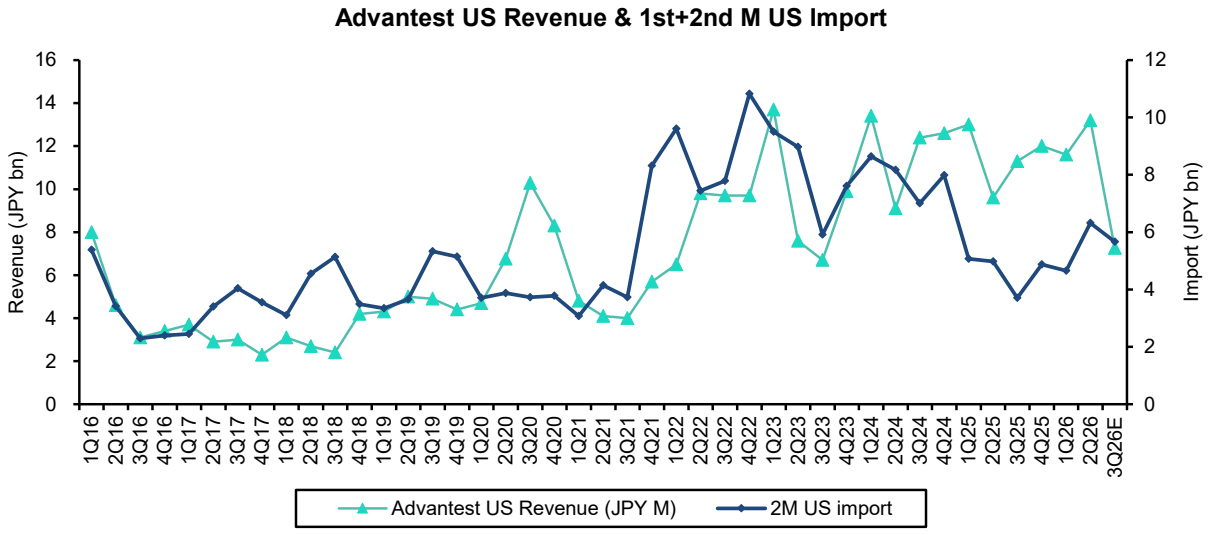
EXHIBIT 22: **Korean import in C3Q26 is indicating QoQ growth, and this dataset has shown decent directional correlation with Advantest.**



Source: Company disclosures, Korea Customs Service, Bernstein estimates and analysis

United States import

EXHIBIT 23: **US import data for C3Q26 is indicating QoQ decline, but this dataset does not have strong directional correlation with Advantest.**



Source: Company disclosures, United States International Trade Commission, Bernstein estimates and analysis

KOKUSAI

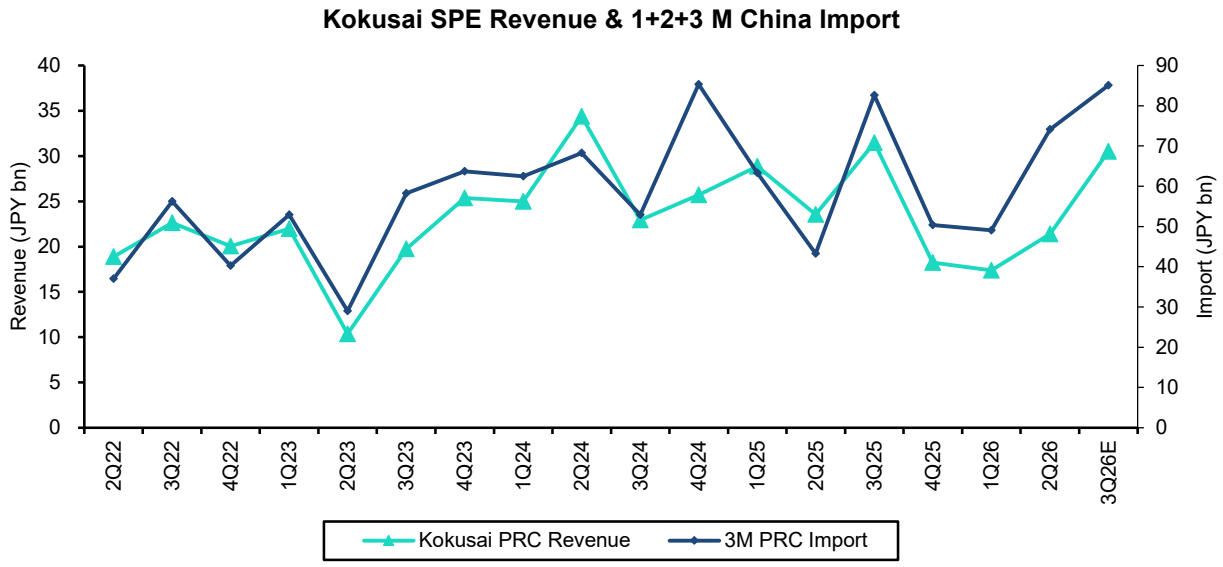
Kokusai will publish 2Q27 results on Monday 9th November.

Strong China import — Our regression analysis based on PRC imports (Exhibit 24) suggests +43% QoQ in China sales for Kokusai. As Kokusai went public only in late 2023, data availability is limited and no conclusive prediction could be made on the corporate revenue. If we assume the rest of the world is flat QoQ, the implied revenue would be ¥84.5bn, -1% below consensus. However, we wouldn't use this as a strong indicator for a beat / miss either way.

FY Guidance — In terms of guidance, company significantly revised their FY guidance last quarter, and with most of the upside for the year already baked into the guidance. We expect some commentary with regards to how the pricing negotiation is developing, as well as some progress on capacity expansion. If they raise the full year revenue guidance to, say, ¥360bn, that would be positive surprise.

Kokusai China Import

EXHIBIT 24: **China import for C3Q26 is showing QoQ growth, and this data shows good directional correlation with Kokusai despite only short data is available.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

SCREEN

Screen will publish 2Q27 results on Friday 30th October.

Expect Q2 miss — Our regression analysis (Exhibit 25-Exhibit 30) based on Taiwan / PRC imports suggests a Q2 miss from Screen for their SPE segment, as our regression suggests Q2 revenue of ¥120bn vs. the consensus of ¥165bn. The delayed revenue recognition for China DRAM of c. ¥22bn is said to be either recognized within Q2, but is still insufficient to offset the miss.

Noteworthy is that regression result for Screen is with slightly less conviction vs. TEL and Advantest, since we only have 2 regions worth of data, and Screen's revenue recognition is on installation-basis rather than shipment-basis which is common for other companies, so the correlation is much lower than for other SPE peers.

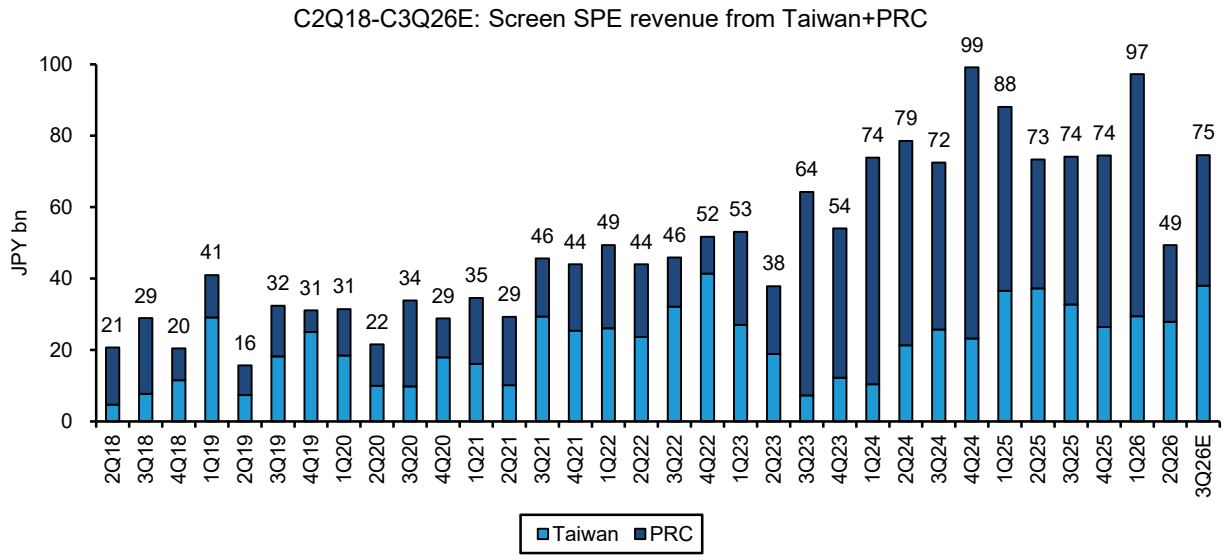
In terms of guidance, we expect updates regarding pricing negotiation, and how much they would be able to see margin upside in 2H as well as into next year. Conviction on margin upside driven by pricing would help.

EXHIBIT 25: **Our regression-based analysis point to a Q2 miss for Screen.**

Screen	Revenue (JPY bn) 2QFY26 (3QCY25)	1QFY27 (2QCY26)	2QFY27E (3QCY26E)	YoY	QoQ
Total SPE	109	93			
Import (Predicted)			120	10%	29%
Bernstein			157	44%	68%
Consensus			165	51%	77%

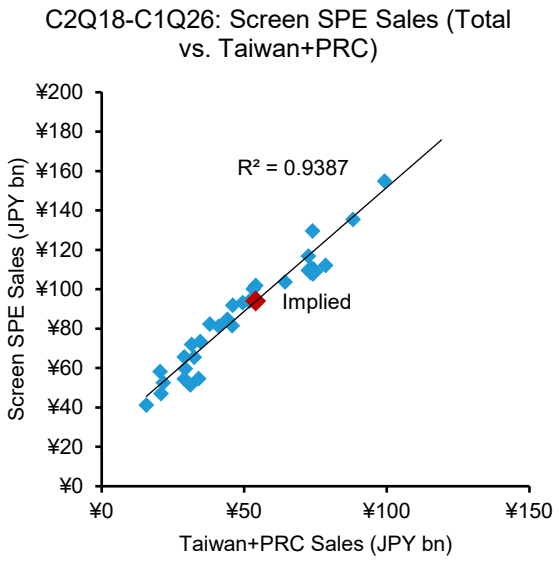
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 26: **Based on regression, we expect Screen's SPE revenue from Taiwan and PRC to be collectively ¥75bn.**



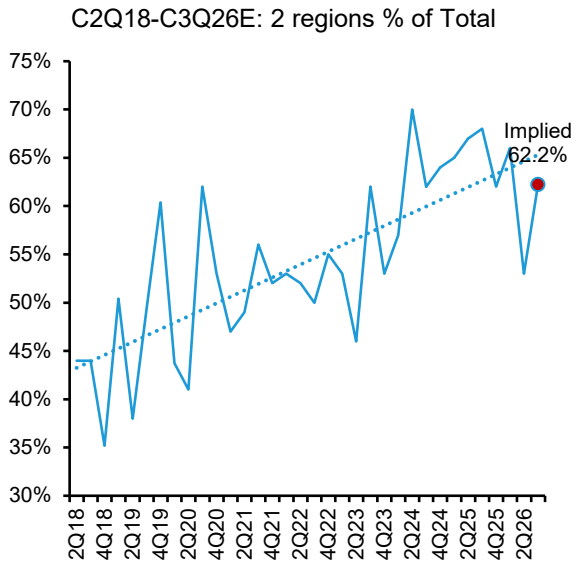
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 27: **And we derive Screen's total SPE sales based on regression.**



Source: Company disclosures, Bernstein estimates and analysis.

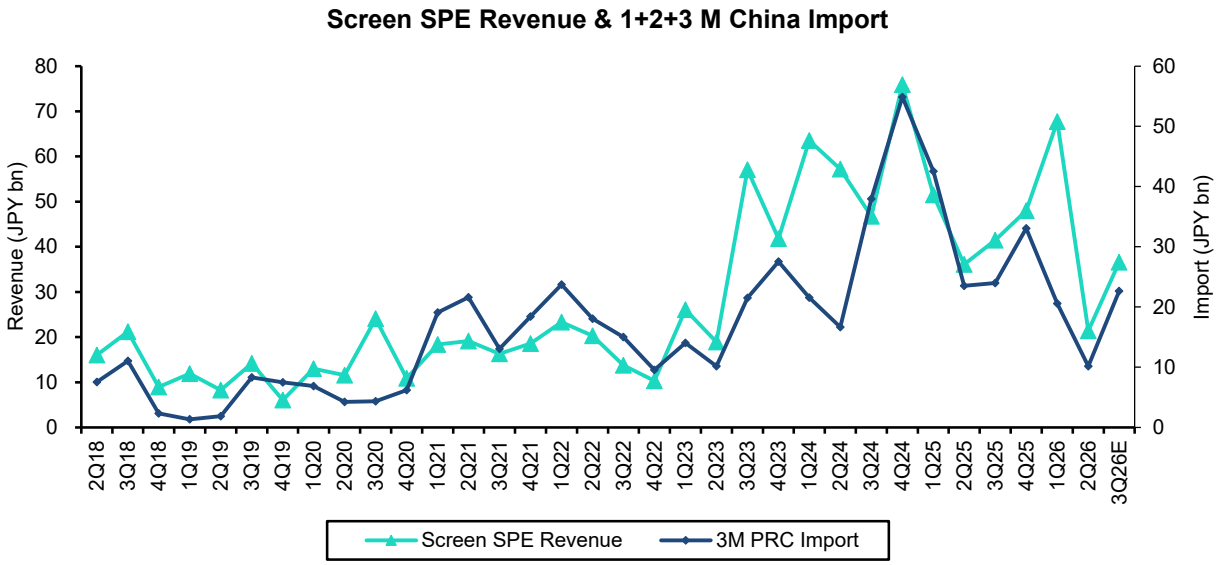
EXHIBIT 28: **Our regression-based Screen SPE sales of ¥120bn in CQ3 implies a 62.2% mix from Taiwan and PRC, and slightly below the historical trendline.**



Source: Company disclosures, Bernstein estimates and analysis.

China

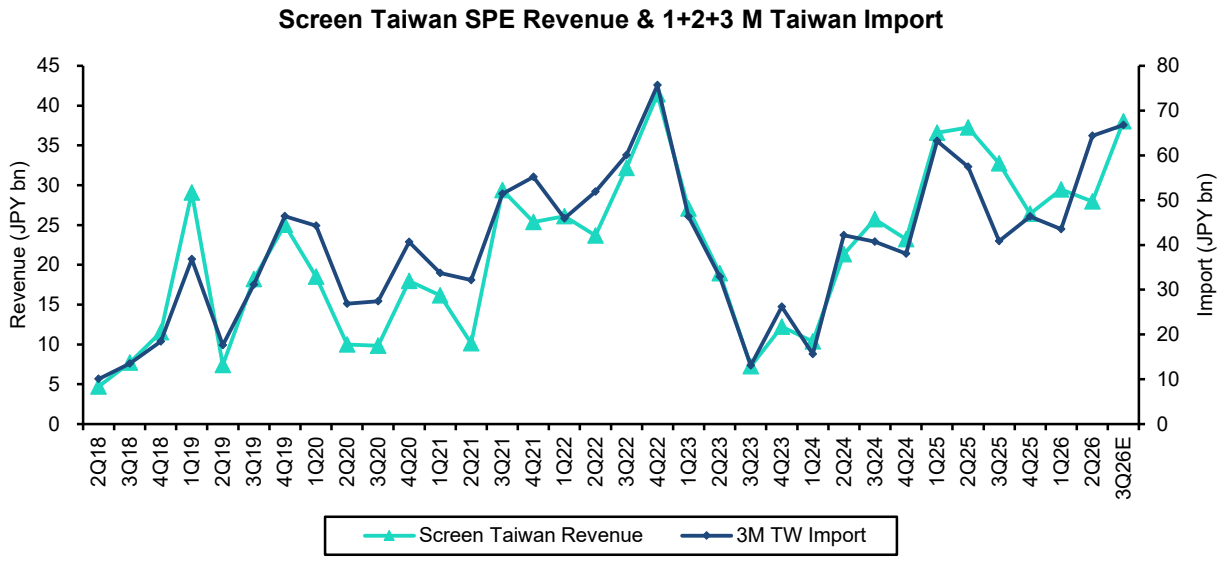
EXHIBIT 29: **China import in C3Q26 is indicating QoQ growth, and this data shows decent directional correlation with Screen.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Taiwan

EXHIBIT 30: **Taiwan import in C3Q26 is showing QoQ growth, and this data shows good directional correlation with Screen.**



Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

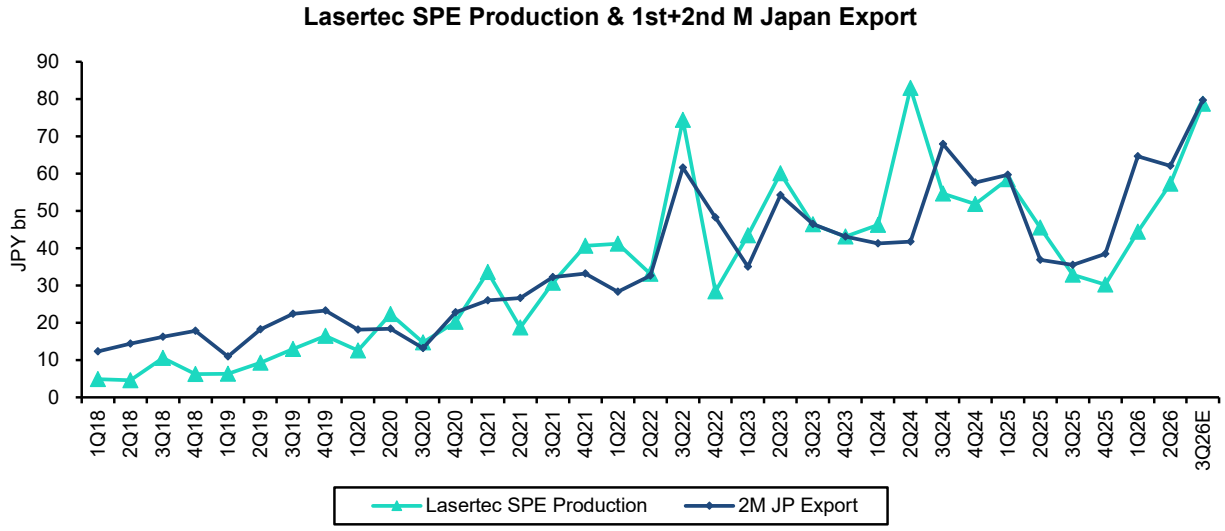
LASERTEC

Lasertec will publish 1Q27 results on Friday 30th October.

Expect Q1 production growth — There are not enough data points to sufficiently predict Lasertec's shipment or revenue, and we believe the most relevant leading indicator available now is production since they stopped disclosing their quarterly orders. Based on Japan equipment export data, we expect Lasertec's production value to be +37% QoQ (Exhibit 31-Exhibit 33).

Expect order guidance hike — Lasertec is expected to raise their order guidance this quarter instead of their usual cadence of Q2, as they should have better insight regarding the pace of the adoption and the progress of evaluation for ACTIS A200 HiT. In terms of the new range, investors seem to anchor around ¥400-450bn, which is quite risky, in our view.

EXHIBIT 31: **Japan export for C3Q26 is implying QoQ growth, and this data shows some directional correlation with Lasertec.**



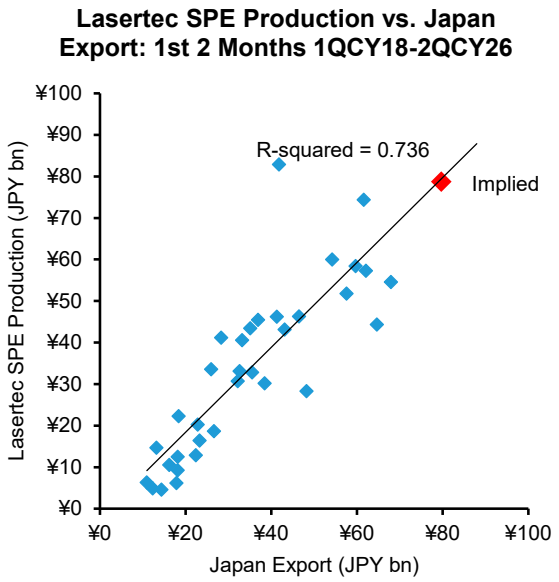
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 32: **We expect Lasertec's Q1 SPE production of ¥79bn, +37% QoQ.**

	Production (JPY bn)		
	1QFY26 (3QCY25)	(2QCY26E)	1QFY27E (3QCY26E)
SPE Production	33	57	79
YoY			140%
QoQ			37%

Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 33: **Lasertec's SPE quarterly production shows good correlation with Japan export data.**



Source: Company disclosures, METI, Bernstein estimates and analysis

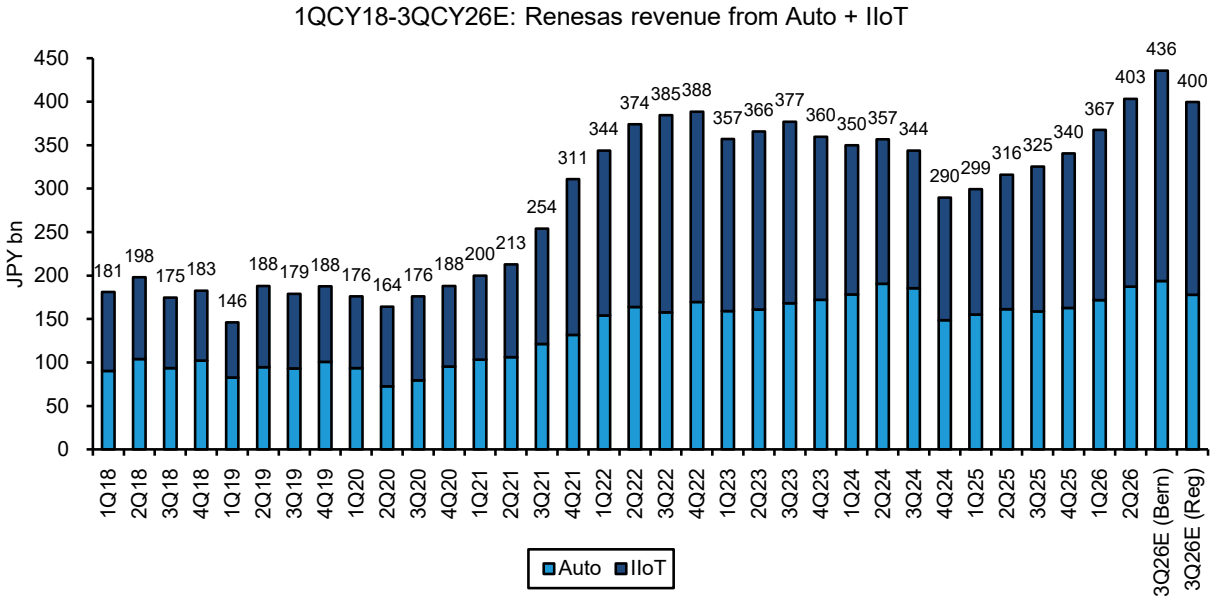
RENESAS

Renesas will publish 3Q26 results on Thursday 29th October.

Expect Q3 revenue a miss — Exhibit 34 shows our regression-based Q3 revenue estimates, based on Japan MCU export and WSTS Japan MCU data (Exhibit 37) for Auto and WSTS Japan Analog data (Exhibit 38) for IIoT. These two summed up indicate that Renesas total revenue will decline sequentially 1% (Exhibit 35), which lags consensus of +7% QoQ. The number comes from Japan MCU up 7% QoQ and WSTS Japan Analog up 12% QoQ. However, we notice that we only have July and August data at this moment and METI data may be very variable from month to month. In our revenue forecast we expect Q3 revenue to increase 8% sequentially and hence would not expect a miss of -1% QoQ suggested by regression.

We expect continue strength in Q4 driven by price hikes. We expect Renesas to guide for sequential revenue growth and stable margin in Q4. Growth should be supported by continued AI server demand, alongside ongoing inventory restocking in the auto and industrial applications which is gaining momentum based on peers results in Q3. On the other hand, a lack of clearer guidance on pricing actions and their margin impact could disappoint investors, in our view. December will mark the price negotiation for next year and any early comments would be helpful. **Long-term growth looks solid:** As indicated in *Infineon/ Renesas: CPU renaissance emerges as a second engine for power semi demand, set to outstrip supply*, we believe Renesas to continue to grow in the power semi space given the rise of AI power demand.

EXHIBIT 34: **Our regression analysis indicates that Renesas' revenue from Auto and IIoT reaches collectively ¥400bn in 3QCY26E (or ¥403bn if including other product lines), vs. our estimate of ¥436bn (or ¥438bn if including other product lines).**



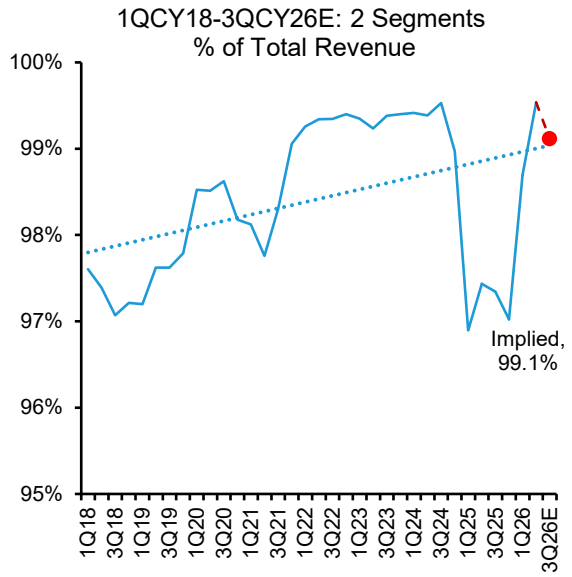
*"Reg" indicates estimates from regression analysis.
Source: Company disclosures, Bernstein estimates and analysis

EXHIBIT 35: **Based on our regression, we expect a miss in CYQ3 for Renesas.**

	Revenue (JPY bn)				
Renesas	3Q25	2Q26	3Q26E	YoY	QoQ
Total Sales	334	405			
Predicted			403	21%	-1%
Bernstein			438	31%	8%
Consensus			435	30%	7%

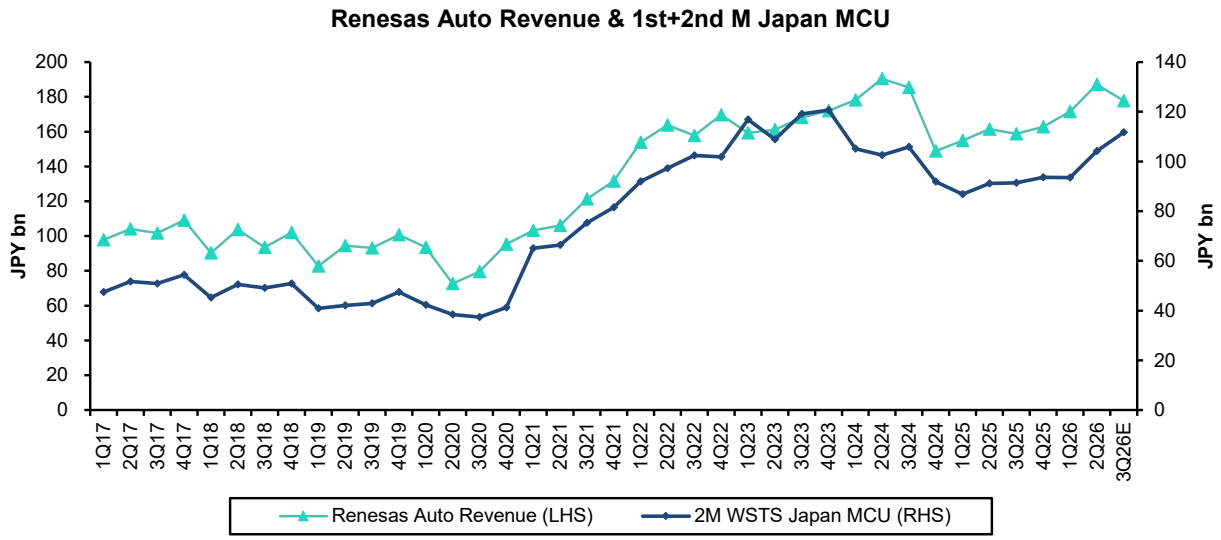
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis

EXHIBIT 36: **Our regression-based Renesas sales of ¥403bn in CQ3 implies a 99.1% mix from Auto and IIoT.**



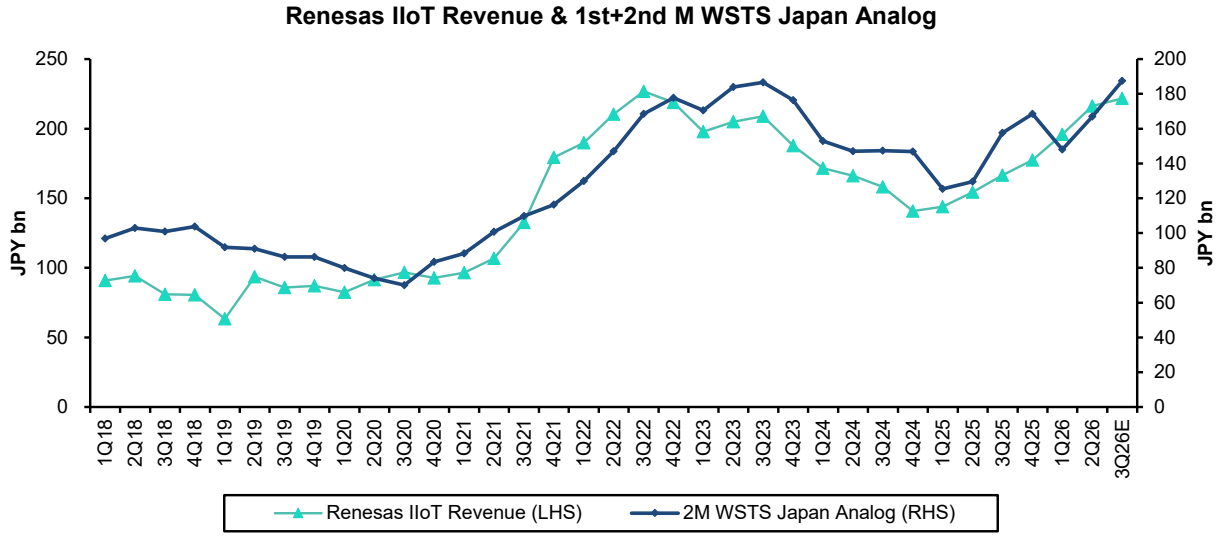
Source: Company disclosures, Bernstein estimates and analysis

EXHIBIT 37: **Japan export for 3QCY26 is indicating a QoQ increase, and this data shows relatively strong directional correlation with Renesas Auto sales. That said, we note that the correlation has weakened in recent quarters.**



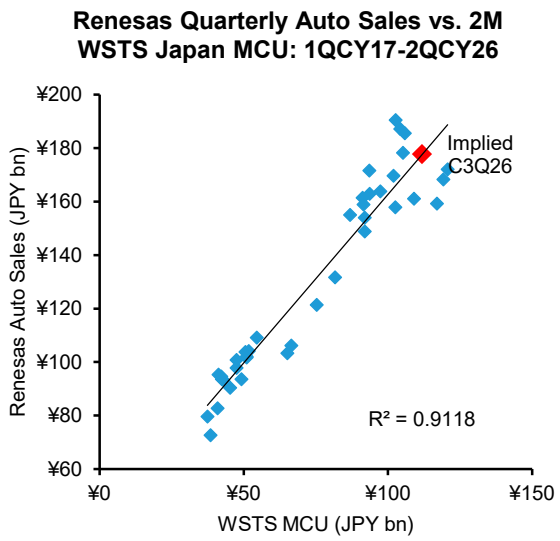
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 38: **WSTS Japan Analog for 3QCY25 is indicating a strong sequntial increase, and this data shows relatively good directional correlation with Renesas IIoT sales.**



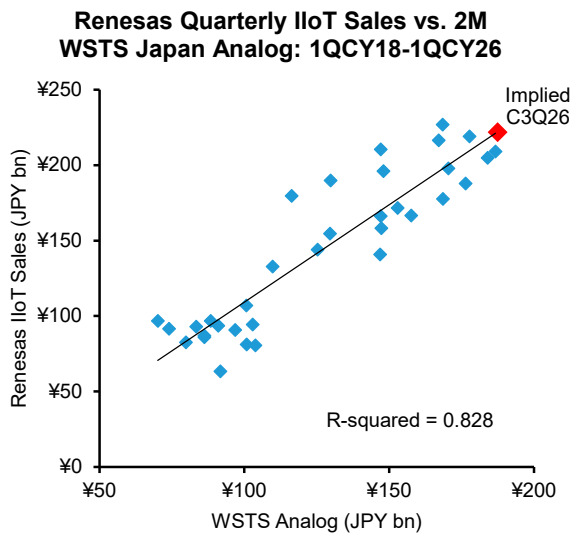
Source: Company disclosures, WSTS, Bernstein estimates and analysis

EXHIBIT 39: **Renesas' quarterly Auto sales shows good correlation with Japan export data.**



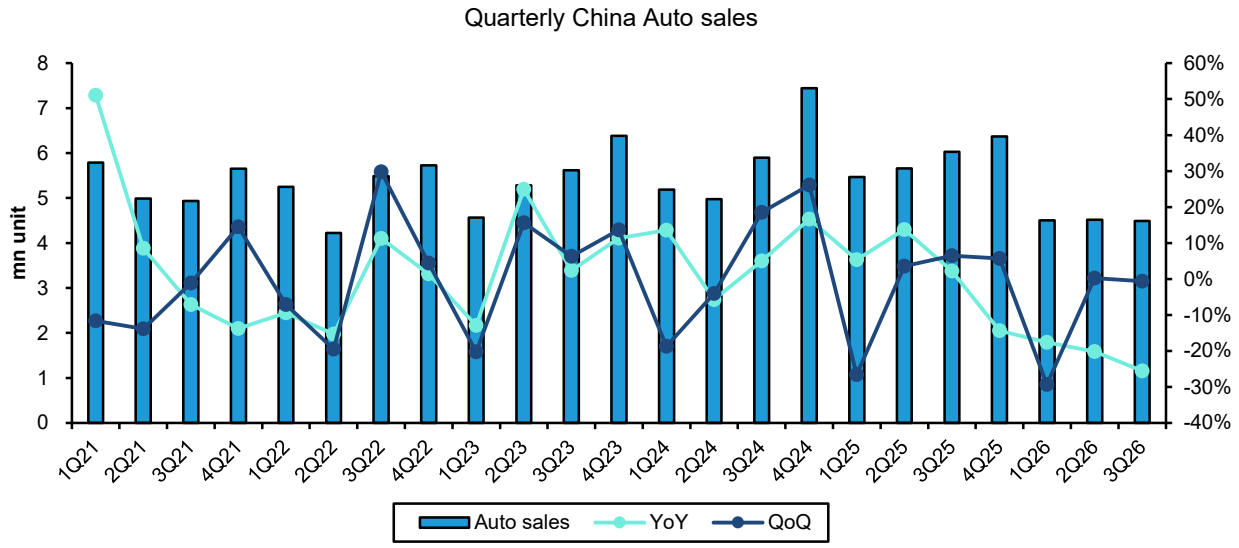
Source: Company disclosures, WSTS, Bernstein estimates and analysis

EXHIBIT 40: **Renesas' quarterly IIoT sales shows good correlation with WSTS Japan Analog data.**



Source: Company disclosures, WSTS, Bernstein estimates and analysis

EXHIBIT 41: **China's auto sales declined slightly QoQ but more than 25% YoY, still weighed down by the pull-forward effect of last year's subsidy program.**



Source: C.A.D., Bernstein Asian Auto research team

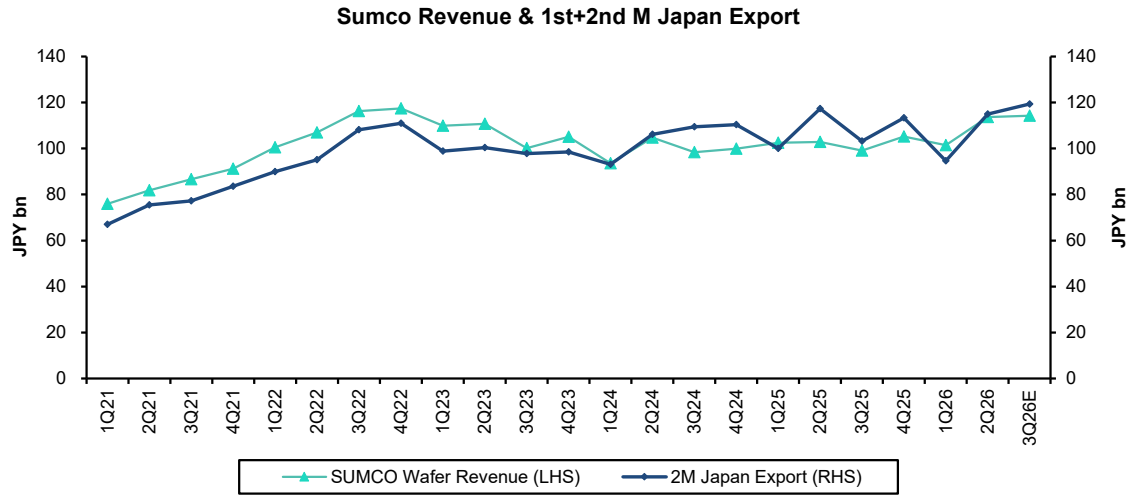
SUMCO

SUMCO will publish 3Q26 results on Wednesday 11th November.

Expect Q3 small miss — Our regression analysis (Exhibit 43, Exhibit 44) is based on Japan wafer exports (Exhibit 42), and the regression result suggests QoQ growth of +1% for SUMCO revenue in Q3, 3% below consensus estimate.

Expect Q4 decline due to de-consolidation - Formosa Sumco will be deconsolidated in Q4 after the stake sale, which impacts ~15% of its revenue. Otherwise, there is a lack of near term catalyst, as LTA renewal and price negotiation hasn't happened. Investors will look for inventory decline and spot price comments for potential upside.

EXHIBIT 42: **Japan export for C3Q26 is showing QoQ increase, and this data shows some directional correlation with Sumco.**



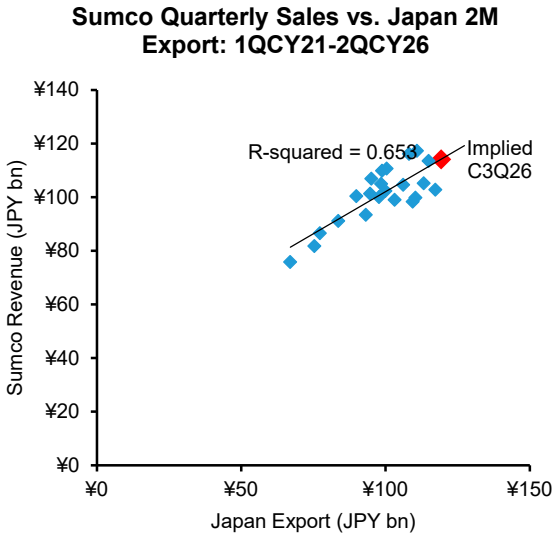
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 43: **Our regression analysis suggests Sumco's Q3 sales of ¥114bn, +1% QoQ.**

	Revenue (JPY bn)		
	2Q26	3Q26E	QoQ
Total Sales	114	114	1%
Bernstein		101	-11%
Consensus		118	4%

Source: Company disclosures, METI, Bernstein estimates and analysis.

EXHIBIT 44: **Sumco's quarterly sales shows good correlation with Japan export data.**



Source: Company disclosures, METI, Bernstein estimates and analysis

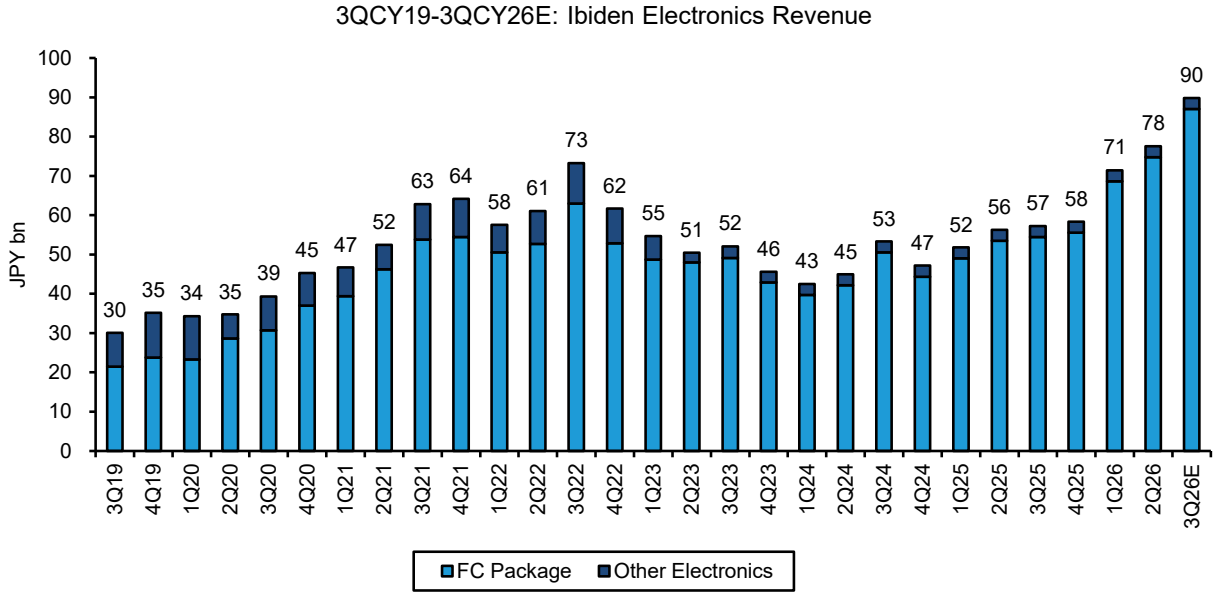
IBIDEN

Ibiden will publish 2Q27 results on Thursday 29th October.

Expect largely inline in electronics revenue — Our regression analysis (Exhibit 45, Exhibit 47, Exhibit 48) based on Japan METI production data on rigid PCB boards (Exhibit 46) suggests +16% QoQ for the electronics segment in Q2, -1% below consensus, which could be a rounding error. We find METI data correlates very well with Ibiden FC package revenue, and we made the estimate adjusted for seasonality.

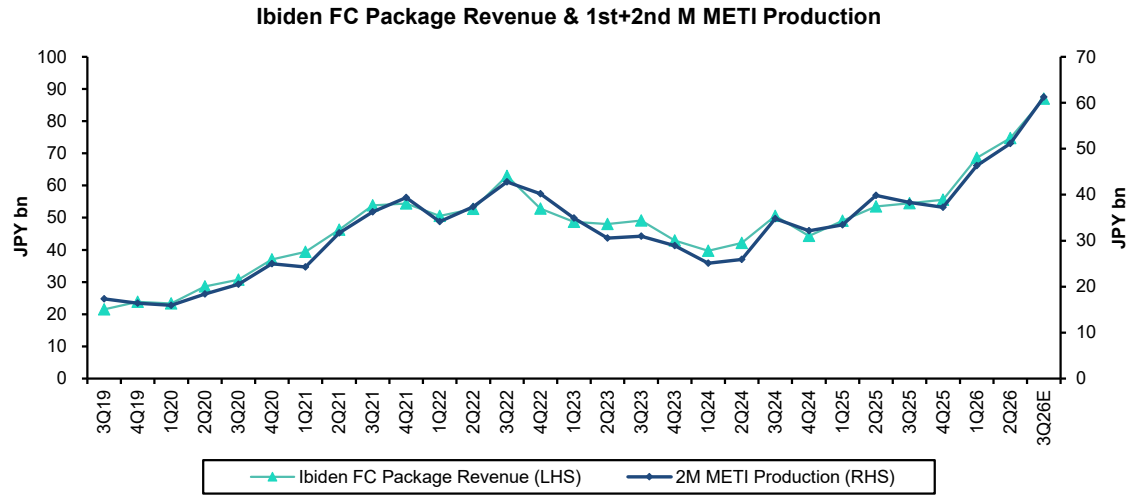
New capacity announcement expected - While FY 2026 full year guidance won't necessarily be raised, FY27 is now looking too low and likely will be raised. Ibiden will also likely announce the two cells (7 and 9) next to Ono and Gama for expansion beyond 2029. As a result, FY 2030 (31/3) operating profit is expected to be raised. Any price hike comment will be helpful for investors.

EXHIBIT 45: **Our regression analysis indicates that Ibiden' Electronics revenue reaches ¥90bn in C3Q26.**



Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 46: **METI's production data for C3Q26 is showing QoQ increase, and this data shows good directional correlation with Ibiden.**



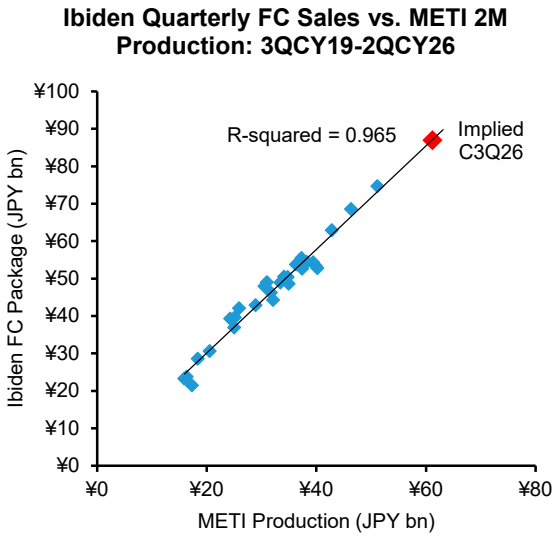
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 47: **Our regression analysis suggests Ibiden's Q2 electronics sales of ¥90bn, +16% QoQ.**

	Revenue (JPY bn) 1QFY27 (2QCY26)	2QFY27E (3QCY26E)	QoQ
Total Electronics Sales	78	90	16%
Bernstein		93	19%
Consensus		91	17%

Source: Company disclosures, METI, Bernstein estimates and analysis.

EXHIBIT 48: **Ibiden's quarterly FC package sales shows very good correlation with METI production data.**



Source: Company disclosures, METI, Bernstein estimates and analysis

HOYA

Hoya will publish 2Q27 results on Friday 30th October.

Positive developments in EUV and HDD. Hoya results are likely solid with strong EUV and HDD substrate demand, and investors are likely to ask when they might be able to raise price for HDD substrates, especially if a capacity constraint is likely next year.

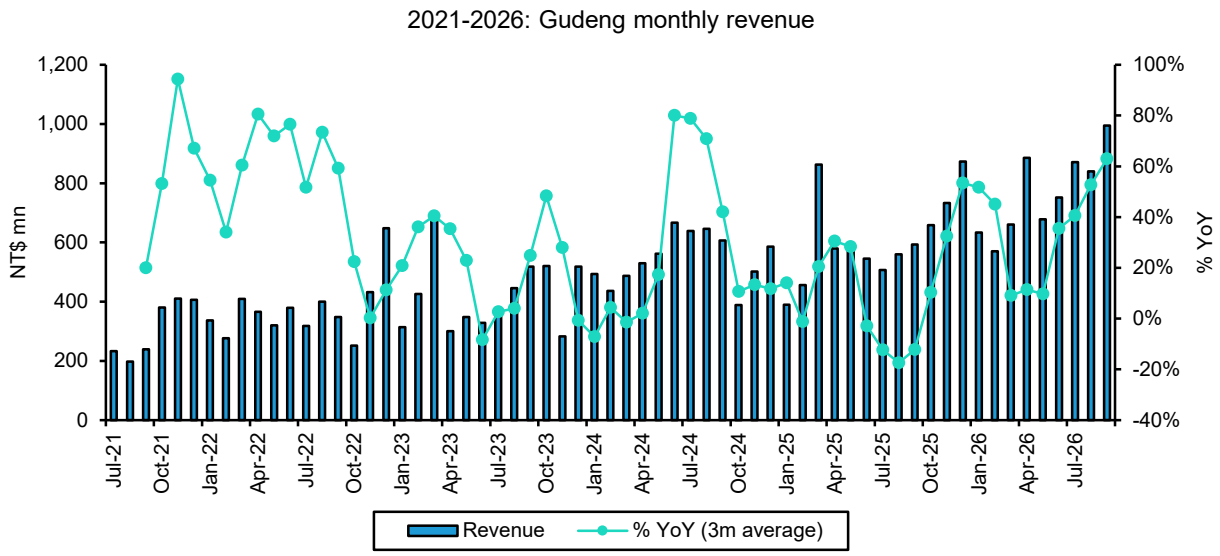
- While no specific tracking data is available for Hoya quarterly results, we're optimistic on Hoya's longer term earnings sustainability going forward. On mask blanks, the market for 3nm will be strong next year, and phase shift EUV mask for 2nm is expected to become the next growth driver after 2027. We track the monthly revenue of Gudeng (3680.TT, not covered), the mask pod provider to monitor the growth. The monthly revenue grew +35% YoY for 3m average in Jun-Q, which may be positive for Hoya's mask blank growth (Exhibit 49).

- Toshiba's capacity expansion should suggest upside to Hoya's HDD substrate. On HDD, HAMR has entered mass production with Seagate adopting the technology first, and recently Toshiba announced adoption of glass substrate, suggesting Hoya's addressable market expanded from 40% to 100%. The strong HDD demand from end customers suggest Hoya may have to revise up its HDD and EUV forecasts and expand capacity further. In addition, HDD supply continues to be in shortage driven by explosive surge of AI workloads and data center storage demand.

- Although Hoya benefits from both EUV and HDD growth, the revisions will be less strong as there is not much volume or ASP uplift.

Upside in guidance acceleration. We expect Hoya to guide for acceleration in the mask blanks and HDD substrate with continued strength in margins. We also look for life care margin sequential recovery of OPM towards 20%.

EXHIBIT 49: **Gudeng continues to show decent revenue growth, with 3-month average of 63% YoY.**



Source: Company disclosures, Bernstein analysis.

SOFTBANK

There was a sharp swing in SoftBank's NAV over recent months. After peaking at an estimated JPY 72.3tn in FY27/3 Q2, NAV has fallen to JPY 55.6tn following the correction in AI-related equities, particularly Arm and Intel. Despite this pullback, NAV remains significantly above historical levels. The latest NAV calculation incorporates SoftBank's increased OpenAI ownership following its additional investment, partially offset by lower public-market valuations.

We calculate the NAV discount at 49% now, low end of the historical range. Looking ahead, several developments could materially influence NAV.

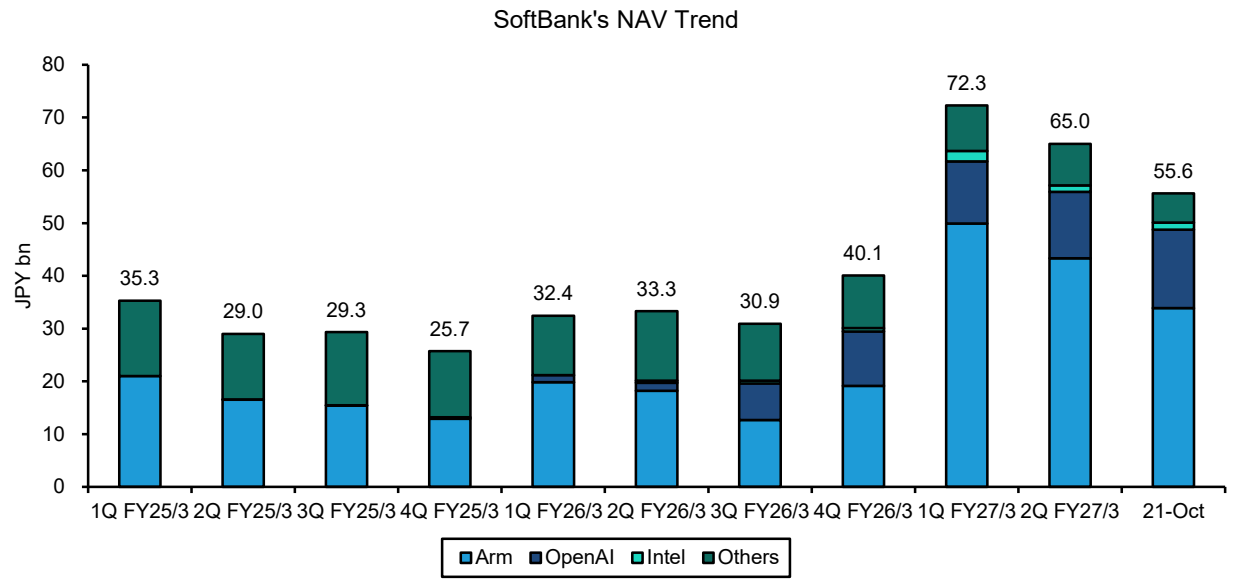
- **Arm share price:** Arm's earlier rally increased the market value of SoftBank's holding, but the subsequent technology and AI-stock correction reversed part of that uplift. Higher interest-rate expectations added pressure to Arm's and other investments' valuation by reducing the present value of expected future earnings.
- **OpenAI valuation:** Reuters reported on October 19 that OpenAI was seeking approximately $30 billion in funding at a valuation potentially exceeding $1.4 trillion, versus its $852 billion March valuation. A completed round at that level could support a higher valuation for SoftBank's investment, although the proposed terms remain unconfirmed and should not yet be treated as a realized NAV uplift. Separately, SoftBank completed its previously announced $30 billion follow-on investment in OpenAI on October 1st , bringing its cumulative investment to $64.6 billion and increasing its ownership stake to approximately 13%, further enhancing its exposure to any future uplift in OpenAI's valuation.
- **SB Energy IPO:** SB Energy publicly filed for an IPO in September but delayed its launch amid investor resistance to its targeted valuation and further SEC questions. Reuters also highlighted concerns about its reliance on OpenAI as a major customer. The delay postpones an observable public-market valuation for SoftBank's holding and leaves the potential NAV impact uncertain.
- **ABB Robotics acquisition:** SoftBank agreed to acquire ABB's robotics business for $5.375 billion. Closing remains a prospective event: the official announcement specifies mid-to-late 2026, rather than a confirmed Q4 closing. The acquisition would expand SoftBank's exposure to physical AI, but the purchase itself should not be presented as an automatic NAV uplift.

EXHIBIT 50: **The 21 October NAV calculation reflects the increase in OpenAI ownership and the sharp decline in Arm and Intel share prices.**

Softbank's 1-year NAV to valuation (USDbn)	
	21th October
Arm per share value (USD)	226.59
Share Count (mn)	1,068
Market cap (USD bn)	241,998
% holding	86.4%
OpenAI Valuation (USD bn)	852
% holding	10.8%
Intel per share value (USD)	92.96
Share Count (mn)	5,285
Market cap (USD bn)	491
% holding	1.6%
NAV (USD bn)	
Arm	209.1
OpenAI	91.7
Intel	8.1
Others	2.0
Total	**310.8**
Total (JPY tn)	*49.2*
Discount	**46%**
Share Count (mn)	5,699
Target Price (JPY)	11,100
Current Price (JPY)	4,622
Upside/Downside	140%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 51: **SB NAV declined sharply after the correction in AI-related stock prices but it is still considerably up YTD.**



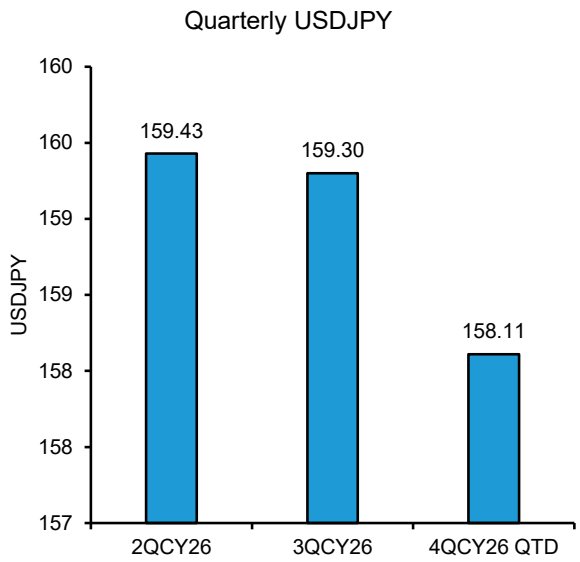
Source: Company disclosures, Bernstein estimates and analysis.

FX – YEN IN Q3 LARGELY NEUTRAL

In C3Q26, USDJPY has appreciated by ¥0.1 (or 0.1%) QoQ (Exhibit 52). FX would be a mostly neutral for companies this quarter. For C4Q26 QTD, JPY is also down at ¥158.11 (0.8% appreciation), which could provide some headwind.

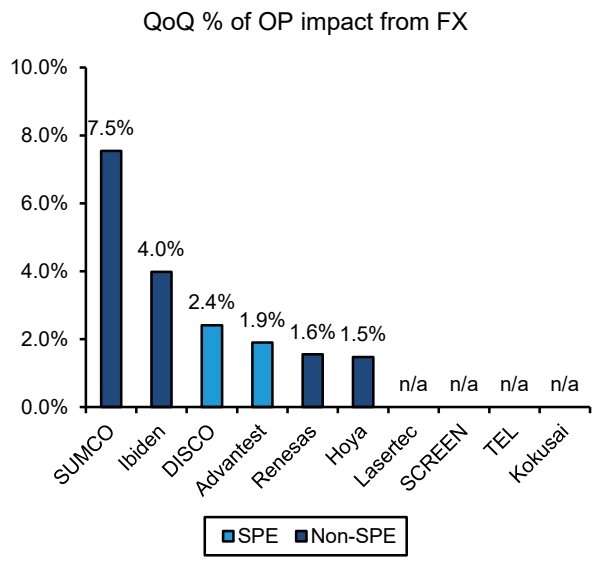
Usually, Ibiden and SUMCO are favourable in terms of FX when JPY is depreciating (Exhibit 53). In general, the WFE companies tend to be affected less from FX fluctuations as many of them sell their products and incur costs in JPY.

EXHIBIT 52: **JPY appreciated 0.1% in SepQ, and QTD saw appreciation of 0.8%.**



Source: Bloomberg, Bernstein analysis.

EXHIBIT 53: **SUMCO and Ibiden are most likely to benefit from OP upside in case of FX depreciation.**



Source: Company disclosures, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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